www.aib-axysafrica.com
research@aib-axysafrica.com

Absa Kenya
FY'2025 Earnings Note

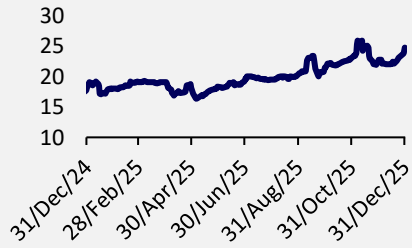


ABSA Bank FY'25 Earnings Note

10th March, 2026

Ticker Information	
NSE Code:	ABSA
Issued Shares (Bn):	5.43
52-week high:	KES 10.00
52-week low:	KES 33.00

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	4.8%	34.0%	42.4%	53.9%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
HOLD	**KES 30.05**	**KES 31.39**

Summary

- **ABSA Bank Kenya reported profit after tax of KES 22.91Bn in FY2025, representing a 9.7% y/y** increase, demonstrating resilience despite a challenging interest rate environment. We note that earnings growth was primarily supported by a sharp decline in impairment charges and improved operational efficiency. Total operating income declined 1.6% y/y to KES 61.35Bn, suggesting pressure on interest income following declining lending yields during the year. Notably, the bank maintained a strong balance sheet, with total assets increasing 6.2% to KES 537.65Bn, while customer deposits grew 1.4%y/y to KES 372.38Bn. **The board declared a final dividend of KES 1.85 per share, resulting in a total dividend of KES 2.05, representing a 17.1% y/y increase from KES 1.75 declared in 2024**

Key Highlights

- **Income Drivers:** Absa's earnings performance was shaped by margin pressures across the banking sector, though revenue resilience was supported by continued growth in non-funded income streams. Net interest income declined 6.4% y/y to KES 43.29Bn, as lending yields moderated in tandem with easing interest rates. Nonetheless, non-funded income grew 12.2% y/y to KES 18.06Bn, supported by stronger performance in transactional banking, payments, resilient asset management business, and other fee-based services. Consequently, the bank's revenue mix shifted to 71.0% funded income and 29.0% non-funded income, highlighting the gradual diversification of earnings relative to peers in the sector.
- **Asset Quality:** Asset quality improved. The NPL ratio declined to 11.5% from 12.6% in the prior year, supported by an 8.4% y/y reduction in gross non-performing loans to KES 38.91Bn. Notably, loan loss provisions fell sharply by 31.8% y/y to KES 6.20Bn, highlighting improved recoveries and lower impairment requirements during the period. While NPL coverage moderated slightly to 64.6% from 66.0%, overall asset quality trends remain stable, with the bank's credit portfolio demonstrating resilience relative to broader sector dynamics.

Balance Sheet Dynamics

Absa's balance sheet continued to expand during FY2025, supported primarily by growth in investment securities. Total assets increased 6.2% y/y to KES 537.65Bn, largely driven by a 20.7% increase in government securities holdings to KES 157.70Bn, suggesting a deliberate allocation towards lower-risk assets amid prevailing macroeconomic conditions. Loan growth remained relatively subdued during the year, with net loans and advances increasing 1.0% y/y to KES 312.17Bn, pointing to cautious lending conditions across the sector. Meanwhile, customer deposits grew 1.4% y/y to KES 372.38Bn, supporting a stable funding base. The loan-to-deposit ratio declined marginally to 83.8% from 84.2%, indicating a slightly more conservative balance sheet structure. Notably, shareholders' funds increased 18.0% y/y to KES 100.52Bn, supported primarily by growth in retained earnings.

Operating Efficiency

Operational efficiency strengthened during FY2025, disciplined cost management, and improved credit performance. Total operating expenses declined 12.2% y/y to KES 28.62Bn, largely driven by a 31.8% reduction in loan loss provisions to KES 6.20Bn as asset quality improved. As a result, the cost-to-income ratio improved to 46.7% from 52.3%, highlighting stronger operational leverage and continued optimization of the bank's digital and operating infrastructure.

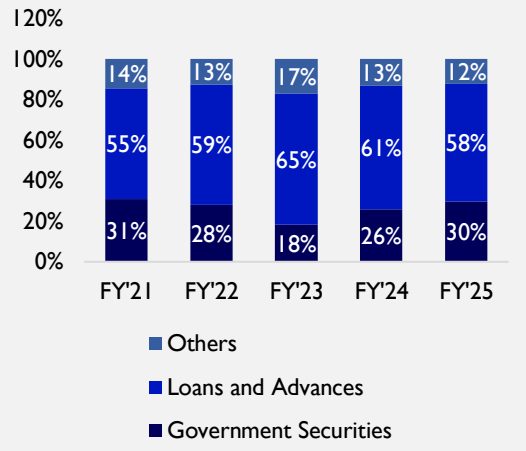
Outlook

We maintain a constructive medium-term outlook on Absa, supported by a resilient earnings profile, strong capital buffers, and continued growth in diversified non-funded income streams. In our view, momentum in transactional banking, payments, and digital platforms should continue to underpin revenue diversification, while the bank's expanding wealth and asset management franchise provides an additional avenue for fee income growth. We view the Asset Management business as a key catalyst for growth in the near term, as AUM has been growing significantly. Additionally, management highlighted that going forward, the payout ratio will improve from historical levels, which would enhance shareholder value as earnings improve. While margin pressures may persist in the near term amid interest rate normalization, we believe Absa remains well positioned to deliver stable earnings growth supported by improving asset quality, a diversified business model, and continued investment in digital platforms.

Recommendation

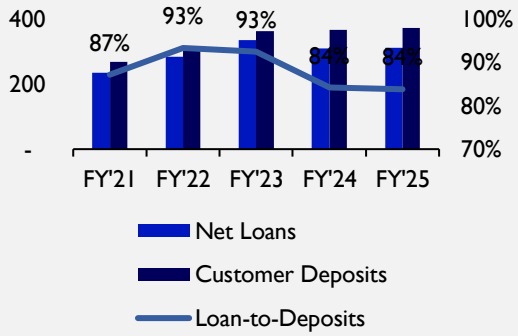
- **We maintain a HOLD recommendation on ABSA,** supported by resilient earnings growth, improving asset quality, and continued momentum in non-funded income streams**.** At the current market price, the stock is trading at P/E ratio of 6.3x and a P/B ratio of 1.7x. Our one-year target price for ABSA currently stands at KES 31.39 - representing a c 4.5% upside potential from current levels.

Chart 2: Asset Composition



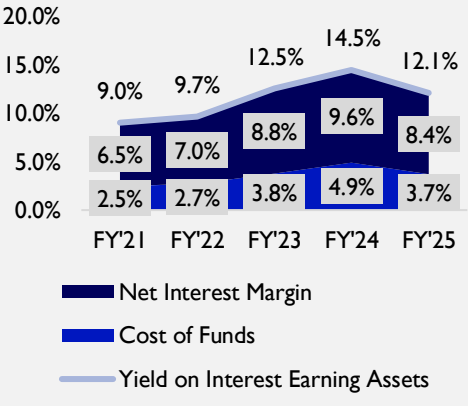
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Expanding Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	FY'21	FY'22	FY'23	FY'24	FY'25	y/y % Change
Net Interest Income	25.26	32.32	40.04	46.23	43.29	▼ (6.4%)
Net non-Interest Income	11.66	13.67	14.53	16.10	18.06	▲ 12.2%
Total Operating income	36.92	45.99	54.57	62.32	61.35	▼ (1.6%)
Provision for Impairment	(4.71)	(6.48)	(9.24)	(9.10)	(6.20)	▼ (31.8%)
Total Operating expenses	(21.37)	(25.14)	(30.89)	(32.60)	(28.62)	▼ (12.2%)
Profit before tax	15.55	20.85	23.68	29.72	32.73	▲ 10.1%
Profit after tax	10.87	14.59	16.37	20.88	22.91	▲ 9.7%
Annualized EPS	2.00	2.69	3.01	3.84	4.22	▲ 9.7%
DPS	1.10	1.35	1.55	1.75	2.05	▲ 17.1%

Balance Sheet (KES Bn)	FY'21	FY'22	FY'23	FY'24	FY'25	y/y % Change
Government Securities	132.58	133.49	95.15	130.59	159.78	▲ 22.4%
Loans and Advances	234.23	283.58	335.71	309.10	312.17	▲ 1.0%
Total Assets	428.69	477.23	519.80	506.48	537.65	▲ 6.2%
Customer Deposits	268.72	303.75	362.75	367.11	372.38	▲ 1.4%
Total Liabilities	372.24	413.62	450.60	421.27	437.13	▲ 3.8%
Shareholder's Funds	56.45	63.61	69.20	85.20	100.52	▲ 18.0%

Ratio Analysis	FY'21	FY'22	FY'23	FY'24	FY'25	y/y % Change
Spreads Analysis						
Yield on Assets	9.0%	9.7%	12.5%	14.5%	12.1%	▼ (2.4%)
Cost of Funds	2.5%	2.7%	3.8%	4.9%	3.7%	▼ (1.2%)
Net Interest Margin	6.5%	7.0%	8.8%	9.6%	8.4%	▼ (1.2%)
ROaE	21.1%	24.3%	24.6%	27.0%	24.7%	▼ (2.4%)
ROaA	2.7%	3.2%	3.3%	4.1%	4.4%	▲ 0.3%
Profit Margin	29.4%	31.7%	30.0%	33.5%	37.3%	▲ 3.8%
Operating Efficiency						
Cost to Income Less LLP	45.1%	40.6%	39.7%	37.7%	36.5%	▼ (1.2%)
Cost to Assets Less LLP	4.1%	4.1%	4.3%	4.6%	4.3%	▼ (0.3%)
Loan to Deposit Ratio	87.2%	93.4%	92.5%	84.2%	83.8%	▼ (0.4%)
Asset Quality						
Gross NPL Ratio	7.9%	7.5%	9.8%	12.6%	11.5%	▼ (1.1%)
NPL Coverage	77.7%	80.5%	65.8%	66.0%	64.6%	▼ (1.4%)
Cost of Risk	2.0%	2.3%	2.8%	2.9%	2.0%	▼ (1.0%)
Capital Adequacy						
Core Capital/TRWA	14.6%	14.6%	13.6%	17.0%	18.3%	▲ 1.3%
Total Capital /TRWA	17.1%	18.6%	18.1%	20.7%	21.0%	▲ 0.3%
Liquidity	38.3%	34.0%	31.1%	42.5%	45.6%	▲ 3.1%



CONTACTS

Research Desk

Email: research@aib-axysafrica.com

Equities Dealing

Email: trading@aib-axysafrica.com

Bond Dealing

Email: trading@aib-axysafrica.com

Derivatives Trading

Email: Derivapplications@aib- axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication is intended solely for informational purposes and is not authorized for public distribution or use by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group. Redistribution or dissemination of this material, in whole or in part, is strictly prohibited and may lead to legal actions. By accessing this report, you acknowledge and agree to abide by these terms, ensuring the security and confidentiality of its contents.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.

Unlock our Exclusive Research spanning Macroeconomics, Equities, Fixed Income, and Sector-Specific Analyses now seamlessly on AlphaSense, LSEG, Tellimer, and S&P platforms

S&P Global Tellimer AlphaSense LSEG